

NMG pitch deck

The read permissions weren't granted, but everything needed is in the court record itself — both benches' full outputs and the evidence pack are in hand, so I'll deliver the deck directly here. (Note: I have no file-write tool in this session, so the deck below is the deliverable; it isn't saved to `desk/reports/`. If you want it filed as `NMG_PITCH_DECK_20260809.md` alongside the others, re-run with write access or paste it in.)

PITCH — NMG — PROPOSED VERDICT: DO NOT BUY BEFORE THE AUG-12 REPORT; RE-OPEN ONLY AFTER THE MID-SEPTEMBER SHARE UNLOCK IF AT LEAST TWO OF THREE CONTRACT MILESTONES ARE MET — PROPOSED — PENDING ADJUDICATION

What we believe

Nouveau Monde Graphite (NMG) is building a graphite mine at Matawinie, Québec, plus a battery-materials plant at Bécancour. The original pitch said: the company just raised US\$309.5M of equity at US\$1.84 per share — backed by Canada Growth Fund, Investissement Québec, and Eni — declared a final go-ahead on the mine, and holds a Government of Canada purchase agreement that puts a floor under future revenue. The stock trades at \$1.38, down 77% from its 52-week high and 9.5% above its 52-week low, so the market is supposedly ignoring roughly US\$300M of cash (~65% of the market cap) plus a government-backed mine.

After the adversarial review, what we actually believe is narrower: the cash is real, the go-ahead decision is real, and sophisticated policy investors did commit money at \$1.84 *after* the US trade ruling went against graphite tariff protection ([USITC, 12-Mar-2026](#)). That bounds the downside. But the two pillars the pitch leaned on hardest are **not signed contracts**:

- The “government purchase agreement” is a **binding term sheet**, not a definitive contract. The company's own press release says it is still “working toward definitive transaction agreements” and remains subject to “completion of governmental approvals and appropriations processes” ([company announcement](#)).
- The “fully funded” label depends on a **US\$335M loan commitment letter** that only becomes real money after final documentation and lender due diligence ([financing announcement](#)). Cash actually in hand covers less than half the ~\$635M package.

What the market believes

The tape says the market is unimpressed: the \$309.5M raise closed and was announced on May 15 ([closing press release](#)), and three months later the stock sits near its 52-week low. The straightforward reading — the one our prosecution bench took — is that the market already knows about the cash and is pricing the post-tariff-ruling graphite economics plus the risk that the loan and the government contract never close.

The defense bench added an important complication: the seller pressing the price down may be mechanical, not informed. The raise increased the share count by roughly half; 52.4M of the new shares are already free to trade and sit 25% underwater versus their \$1.84 purchase price, and holders dumping stock they bought in a deal (rather than holders with a view) can hold a price down regardless of fundamentals. So “the market has decided” is weaker than it looks — but that cuts both ways, because another 115.8M shares (about 35% of all shares outstanding) come free to trade around **mid-September** when their four-month resale restriction expires.

Why we might have edge

- **A verified downside anchor.** Canada Growth Fund, Investissement Québec, and Eni put US\$309.5M in at \$1.84 *after* the adverse US trade ruling — informed, deep-pocketed buyers underwriting the story at a price 33% above today’s. The prosecution never engaged this fact; the defense flagged that omission as the review’s one real evasion.
- **The current seller may be forced, not smart.** If the pressure is deal-stock flowback, the price is not a clean referendum on the business, and a genuinely funded mine trading 25% below what sovereign-linked investors just paid is a legitimate thing to buy — later.
- **Clear, checkable milestones.** The loan converting from commitment letter to executed credit agreement, the government term sheet converting to a signed contract, and the cash balance holding above US\$280M are all public, binary events. When they land, the “two contingent documents” objection dissolves on its own schedule.

Why it might be priced in

- **The cash is three months stale as news.** Every input to the Wednesday balance-sheet math (gross proceeds, escrow release, go-ahead decision) was in the May 15 press release. A quarterly report confirming ~\$300M of cash tells the market nothing it disputes. The prosecution called this the strongest single kill and the defense sustained the core of it: an in-line cash number is not a catalyst.
- **The bear case is about the documents, not the cash.** If the market’s true concern is that the loan and the government contract are unexecuted — and both benches confirmed from primary sources that they are — then today’s price already reflects exactly the risk we verified.
- **Known supply wave incoming.** The mid-September unlock of 115.8M shares is public information; buyers ahead of it are volunteering to absorb it.
- **Spending is accelerating on the unfunded half.** Job postings show Bécancour ramping (29 postings in July, 13 in August) before its financing exists — the burn gets bigger while the funding

stays conditional.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Definitive Government of Canada purchase agreement signed May 13”	Fetches the company’s own press release	It is a binding term sheet , still subject to government appropriations; not a definitive agreement	No — refuted. Our own pitch inflated the document’s status
“Fully funded, under-construction mine”	Fetches the financing press releases	“Fully fund” is conditional on a US\$335M loan that is still a commitment letter pending final docs and lender due diligence	No — refuted as stated. Bench error, partially: the prosecution called this fatal, but our pitch’s own body text carried the qualifier; the defense correctly downgraded it to a sizing issue
Market is blind to ~\$300M cash (~65% of market cap)	Filing dates vs. the price tape	The raise was public May 15; stock sits 9.5% off its low three months later	Facts yes, conclusion no. Bench error the other way: the prosecution cited the weak tape as proof of an efficient verdict, but 52.4M underwater deal shares trading freely mean the tape may be mechanically suppressed — our own rules bar that inference without a coverage check, which never ran
“~75% of production commercially covered”	Traced the pitch’s own citations	Includes Panasonic’s 13ktpa from the Bécancour plant — the unfunded leg — double-counting coverage	No — overstated
Construction on schedule / no retreat	Job-postings velocity at both sites	Both sites hiring; refutes the bear’s “schedule slipping” story but confirms accelerating spend on the unfunded plant	Mixed — cuts both ways
New-share resale restrictions	Fetches the equity-package press release	115,847,792 private-placement shares locked until ~mid-September; 52.44M receipt shares already free-trading. (The prosecution left this unverified; the defense closed it)	Yes
Aug-12 earnings date	Derived from a data vendor only; no company press release names it	Date unconfirmed	No — unverified

Claim	How checked	Found	Confirmed?
Full option/warrant/convertible blocked in the review schedule; currency basis of the \$57.3M figure	Attempted; SEC access sandbox	Not obtained	No — open gap

Other bench errors for the record: the prosecution skipped two assigned checks (private-equity dividend-recap and Up-C tax-receivable screens — both cleared by the defense as inapplicable), and never engaged the pitch’s strongest fact (the post-ruling \$1.84 sovereign-linked investment). Both benches ran on the day’s closing tape because live quotes were blocked in the sandbox.

PROPOSED ENTRY BANDS

The courts say **no entry now** (prosecution: reject, conviction 7/10; defense: sustained, flat before the print). Reopen conditions, from the benches’ own math:

- **Do not buy before the Aug-12 report** (date itself unconfirmed) — the cash number is pre-computable and resolves nothing.
- **Do not buy before the ~Sep-15 unlock** of 115.8M shares (~35% of shares outstanding) has passed.
- **Reopen gate (all from the defense’s closing position):** after the quarterly report AND at least **two of three** milestones: (1) the US\$335M EDC/CIB credit agreement **executed**, not committed; (2) the definitive Government of Canada purchase agreement **signed** with the appropriations condition cleared; (3) reported cash $\geq$ **US\$280M** with construction spend tracking inside the feasibility-study estimates (the benches modeled a \$25–60M quarterly draw).
- **If the gate opens (~late September):** buy **one-third of the originally proposed starter size**, valuing the company on the Matawinie mine only, with the Bécancour plant carried at **zero** until its financing exists.
- **Reference prices for the reopen:** the US\$1.84 deal price is the verified sovereign-underwrite anchor — anywhere at or below it preserves the discount to what informed policy investors paid; today’s \$1.38 is 25% below it; the 52-week low is \$1.26. A forced-selling flush through \$1.26 during the unlock window, with the milestone gate already satisfied, is the best version of the entry. The benches specified conditions rather than a single limit price, so these are anchors, not triggers.
- **Exit/kill:** if the appropriations process fails or the lenders’ due diligence terminates the credit commitment, the thesis object no longer exists — no position survives that.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.26 (deck-provisional: 52-week low; a break during the Sep unlock window flags a forced-selling flush into the reopen gate)

- filing watch: 6-K until 2027-02-05 (deck-provisional: watch for EDC/CIB credit agreement EXECUTED and/or definitive Canada offtake SIGNED with appropriation)
- dated pack NMG|2026-08-12: NMG: Q2 report — cash >= US\$280M within feasibility-study capex; date vendor-derived only (date confirmed=False)
- dated pack NMG|2026-09-15: NMG: ~115.8M private-placement shares (~35% of shares out) free to trade; 4-month hold from 15-May close verified from the equity-package PR

What remains unverified

- **The Aug-12 report date** — vendor-derived, no company confirmation.
- **The full capital structure** — options, warrants, convertibles were never pulled (SEC access blocked in the review sandbox); per standing desk rule this must precede any per-share value claim.
- **Currency basis of the \$57.3M figure** in the pitch (CAD vs USD).
- **Appropriations timeline** — no date exists for when the Canadian government's funding process clears; this is the single condition on the offtake that no sensor can currently watch.
- **Whether the tape is truly flowback-suppressed** — the defense's mechanical-seller theory is plausible but no analyst-coverage/attention check actually ran; it is an argument, not a finding.
- **Site-level physical progress** — no satellite check of Matawinie clearing was run.

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One flag on completing the standing closing step: the ledger upsert, edge classification, entry-plan write, and scanner re-run require Bash/Write access that this session doesn't have — so the dashboard update is **not done**. That needs a session with tool access before this deck's reopen gate is considered armed.